ORDINANCE NO. 550

AN ORDINANCE ESTABLISHING THE MATURITY SCHEDULE FOR THE CITY'S WATER AND SEWER REFUNDING AND CONSTRUCTION REVENUE BONDS, SERIES 2011; RATIFYING AND CONFIRMING THE SALE OF THE BONDS; PRESCRIBING OTHER MATTERS RELATING THERETO; AND DECLARING AN EMERGENCY.

WHEREAS, pursuant to Ordinance No. 549, adopted March 21, 2011 ("Ordinance No. 549"), the City Council of the City of Rector, Arkansas (the "City") has authorized the issuance of the City's Water and Sewer Refunding and Construction Revenue Bonds, Series 2011 (the "Bonds") in the maximum aggregate principal amount of $1,900,000 for the purpose of (a) refunding the City's Water and Sewer Revenue Improvement and Refunding Bonds, Series 2004 (the "Bonds Refunded"), which financed and refinanced improvements to the City's water and wastewater system (the "System"), (b) refunding the City's Loan Agreement with the Arkansas Natural Resources Commission, as successor to the Arkansas Soil and Water Conservation Commission, dated May 1, 1986 (the "Loan Refunded"), which financed improvements to the System and (c) financing the costs of extensions, betterments and improvements to the System (the "Improvements"); and

WHEREAS, the City Council has determined that the Bonds should be issued in the aggregate principal amount of $1,825,000; and

WHEREAS, the City has made arrangements for the sale of the Bonds to Crews & Associates, Inc. (the "Underwriter"), pursuant to a Bond Purchase Agreement between the Underwriter and the City (the "Agreement"), which was approved by Ordinance No. 549 provided that certain parameters identified in Ordinance No. 549 were met; and

WHEREAS, the Bonds have been offered and sold within the parameters and conditions set forth in Ordinance No. 549, and it is in the interest of the City that the Bonds be issued on the terms set forth herein for the purpose of accomplishing the refunding of the Bonds Refunded and the Loan Refunded (the "Refunding") and the Improvements;

NOW, THEREFORE, BE IT ORDAINED by the City Council of the City of Rector, Arkansas:

Section 1. The sale of the Bonds to the Underwriter at a purchase price of $1,758,173.90 (principal amount less Underwriter's discount of $50,643.75 and less original issue discount of $16,182.35) (which purchase price is not less than 95% of par (without regard to original issue discount or premium)) plus accrued interest from April 1, 2011, pursuant to the Agreement, is hereby ratified and confirmed.

Section 2. The Bonds shall bear interest at the rates and shall mature on May 1 in the amounts and in the years as follows:

Year (May 1)	Principal Amount	Interest Rate
2013	$ 90,000	2.000%
2015	100,000	2.600
2017	105,000	3.000
2019	110,000	3.300
2021	120,000	3.750
2023	125,000	4.000
2026	215,000	4.500
2028	160,000	4.625
2031	270,000	4.750
2036	530,000	5.000

Section 3. The Trustee and Paying Agent for the Bonds shall be Bank of the Ozarks, Little Rock, Arkansas.

Section 4. The Bonds shall be subject to extraordinary, optional and mandatory sinking fund redemption prior to maturity as follows:

(1) The Bonds shall be redeemed from proceeds of the Bonds which are not needed for the purposes intended, in whole or in part, on any interest payment date, in inverse order of maturity (Bonds within a maturity to be selected by lot in such manner as the Trustee may determine), at a redemption price equal to the principal amount being redeemed plus accrued interest to the redemption date.

(2) The Bonds may be redeemed at the option of the City from funds from any source, on and after May 1, 2016, in whole at any time or in part on any interest payment date, at a redemption price equal to the principal amount being redeemed, plus accrued interest to the redemption date. If fewer than all of the Bonds shall be called for redemption, the particular maturities to be redeemed shall be selected by the City in its discretion. If fewer than all of the Bonds of any one maturity shall be called for redemption, the particular Bonds or portion thereof to be redeemed from each maturity shall be selected by lot by the Trustee.

(3) To the extent not previously redeemed, the Bonds are subject to mandatory sinking fund redemption by lot in such manner as the Trustee shall determine, on May 1 in the years and in the amounts set forth below, at a redemption price equal to the principal amount being redeemed plus accrued interest to the date of redemption:

BONDS MATURING MAY 1, 2013

Years (May 1)	Principal Amounts
2012	$40,000
2013 (maturity)	50,000

BONDS MATURING MAY 1, 2015

Years (May 1)	Principal Amounts
2014	$50,000
2015 (maturity)	50,000

BONDS MATURING MAY 1, 2017

Years (May 1)	Principal Amounts
2016	$50,000
2017 (maturity)	55,000

BONDS MATURING MAY 1, 2019

Years (May 1)	Principal Amounts
2018	$55,000
2019 (maturity)	55,000

BONDS MATURING MAY 1, 2021

Years (May 1)	Principal Amounts
2020	$60,000
2021 (maturity)	60,000

BONDS MATURING MAY 1, 2023

Years (May 1)	Principal Amounts
2022	$60,000
2023 (maturity)	65,000

BONDS MATURING MAY 1, 2026

Years (May 1)	Principal Amounts
2024	$70,000
2025	70,000
2026 (maturity)	75,000

BONDS MATURING MAY 1, 2028

Years (May 1)	Principal Amounts
2027	$80,000
2028 (maturity)	80,000

BONDS MATURING MAY 1, 2031

Years (May 1)	Principal Amounts
2029	$85,000
2030	90,000
2031 (maturity)	95,000

BONDS MATURING MAY 1, 2036

Years (May 1)	Principal Amounts
2032	$ 95,000
2033	100,000
2034	105,000
2035	110,000
2036 (maturity)	120,000

Section 5. This Ordinance shall supplement Ordinance No. 549 in authorizing the issuance of the Bonds.

Section 6. The provisions of this Ordinance are separable and in the event that any section or part hereof shall be held to be invalid, such invalidity shall not affect the remainder of this Ordinance.

Section 7. All ordinances and resolutions and parts thereof in conflict herewith are hereby repealed to the extent of such conflict.

Section 8. It is hereby ascertained and declared that the Improvements must be accomplished as soon as possible in order to make the System adequate for the needs of the City and its inhabitants, without which the life, health, safety and welfare thereof are jeopardized, and that the issuance of the bonds and the taking of the other action authorized by this Ordinance is necessary for the accomplishment thereof. It is, therefore, declared that an emergency exists and this Ordinance being necessary for the immediate preservation of the public peace, health and safety shall take effect and be in force from and after its passage.

PASSED: April 6, 2011

APPROVED:

Mayor

ATTEST:

City Recorder

(SEAL)

CERTIFICATE

The undersigned, City Recorder of the City of Rector, Arkansas (the "City"), hereby certifies that the foregoing pages are a true and correct copy of Ordinance No. 556, passed at a special session of the City Council of the City, held at the regular meeting place of the City Council at 5:30 o'clock p.m. on the 6th day of April, 2011, and that the Ordinance is of record in Ordinance Record Book now in my possession.

GIVEN under my hand and seal this 6th day of April, 2011.

City Recorder

(SEAL)